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Step 6: Track your Financial Freedom

As important as it is to track the planned vs actual nest egg on a regular basis as shown in Step 4 earlier, it is equally important to monitor and track the portfolio through multiple metrics and dashboards.

Dashboards provide you with a pictorial presentation of the facts. This makes the information not only easier to absorb and help in faster decision making, but these also give us the capability of forecasting based on the existing trend of planned vs actual investments to date.

I have listed some of the dashboards that I used while tracking my financial progress, below. These will be useful for you as well. Remember to use what you think will work for you. It is not mandatory to use all or any of them. However, in general, each of the dashboards described here have a specific purpose and objective. Let us start looking at these charts and dashboards one by one.

Executive Portfolio Summary

This first dashboard provides you with the most rudimentary information that you need as you start building your nest egg. It tells how your portfolio is divided amongst the various debt and equity investments that you have made.

Based on various thumb rules and the risk-reward strategy that you may be using for building your portfolio, you may want to alter the portfolio distribution as you go along or ensure you stick to your own strategy.

Figure 7.16A shows the executive portfolio summary for my portfolio as of 2014 and Figure 7.16B shows the updated portfolio mix as of 2015 – during my journey towards financial freedom.